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Market Report – Web3 Trading and Investment Division

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Abstract—Welcome to the second Market Report from the Web3 Trading and Investment Division. We will discuss market news, macro developments and how this alters our market thesis. Markets have capitulated hard and fast the past weeks dropping 30% since our last report. This has provided us with ample buying opportunities and allowed us to adapt our market views. Our sentiment check is short-term positive and medium term bearish.

1. MARKET NEWS

The main market drivers the past weeks have been FED Nominations, AI Overvaluation Fears and Geopolitical Developments.

- **Tech Sell-Off** → Fears over AI overspending: after Amazon announced $200B in AI CapEx and Google added $60B, it triggered sharp early-week sell-offs in the SPX, Nasdaq, and DOW. Losses were briefly recovered before a further >1% drop on February 13. Software firms, European legal companies, and chipmakers also declined amid concerns AI could replace existing services and that spending may be excessive.
- **FED Nomination** → Trump nominated Kevin Warsh, viewed as the most market-friendly choice versus Kevin Hassett. Bond yields remained stable. Traditionally hawkish and anti-QE, Warsh argues AI-driven productivity justifies lower IRs, drawing parallels to Alan Greenspan in the 1990s. Economists dispute the near-term productivity boost, noting that lowering IRs alongside QT could offset effects by pushing real yields higher.
- **Continued Dollar Decline** → The dollar continues its downtrend. Trump views this as positive for exports despite inflationary risks and potential erosion of confidence. Dollar weakness appears more tied to government policy. Large drops occured post "Liberation Day" and amid Greenland tensions, reflecting concerns over perceived erratic and isolationist policies.
- **BTC / crypto-specific headlines:**
  - **Danske Bank:** has reversed its prior crypto ban now allowing acquisition of BTC and ETH ETP's. Goldman Sach's has disclosed $2.36B in crypto holdings. Showing Institutional adoption growth.
  - **London Stock Exchange Group:** announced a blockchain-friendly digital securities settlement platform to tokenize and settle bonds, equities, and other assets on-chain, slated to launch in 2026, signalling a deeper bridge between TradFi and digital markets.

2. MARKET DEVELOPMENTS

2.1. Price action and breadth

Price action has been severley negative with elevated volatility across risk assets. Markets have been dropping over fears of AI bubbles and the associated SPX volatility. BTC and ETH have shown weak performance, as the ALT coin market also has in general. This was in line with our general thesis of the market being bearish. We just didn't expect it to be this bearish this quick.

- 7/30D Price change: **BTC:** [-5.1% / -27.6%] **ETH:** [-5.81% / -38.6 %] **Top 20 index:** [-5.9% / -30.3%]

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2.2. Macro backdrop

The macro backdrop continues to a be a strong point of significance for us as it directly impacts risk on assets, rate-cut expectations, yields and money supply.

- **Unemployment:** 4.3% - It's still remaining relatively elevated however it's not showing signs of worsening. 130,000 non-farm payroll jobs were added, far greater than expectations of 55,000 acting as a positive indicator.
- **CPI:** 2.4% - Has reduced from December, however, still relatively hot compared to 2% target.

The mixed infaltion and employment data has pushed rate-cut expectations further out into the second half of 2026. US IR are currently at 3.50 – 3.75%. Neutral rate is around 3.50%.

2.3. Open interest and CME futures

Leverage conditions assit in providing a clear image of what the current state of the market is. Current open interest and CME futures poisitioning indicate a leverage flush-out, reducing the likelihood of short-term cascading drops.

- Open interest levels have fallen 54% since January reaching $28.6B from $62B.
- BTC Weighted OI Funding Rate is 0.0013%
- The market is neutral, with traders either having closed positions or been flushed out, as with the leverage in the market having been flushed out. This sets the stage for an eventual counter trend-rally or continued consolidation.

2.4. Key levels and sentiment

Technical Reference points continue to indicate short term periods of resistance and support helping guide the directional moves of BTC.

- **Key support:** $67,000 (2021 ATH) **Key resistance**: $74,000 & $83,000
- **Base case:** We expect prices to stay relatively tame at these levels as long as the SPX doesn't continue a stronger down trend. We are expecting a gradual trend up into March, and down into April. The maximum upside extension we see is around the $83,000 range if BTC breaks out upwards. We see a max downwards extension of approx $52,000.
- Fear & Greed Index: [8], indicating Extreme Fear.

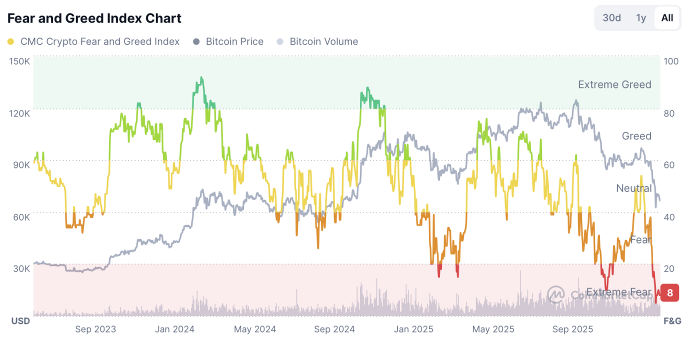

Figure 1. Fear & Greed Index at 9 : 13/02/2026

3. W3T MARKET ANALYSIS

3.1. Trend and regime: Short Term Bulls in a Bear Market

Given extreme fear levels, trends from previous market cycles and major de-leveraging, the potential for an upside move in February is real and present.

- Comparing to our last-report: We highlighted the correlation to dropping below the 50D SMA indicating a bear market. We believe this to still be valid and that the bear market will still be in play until at least summer 2026. We argued for short-term neutrality and mid-term bearish, which was a correct sentiment, but we did not see the huge liquidations coming. As our report said, we believed $67,000 to be a significant support, and we see BTC consistently hovering in this price range.
- In light of these liquidations, we now see a potential for a BTC bottom to be even lower. As seen in Figure 2, the bear market does not bottom out until the actual Price drops below the realised value. This is currently sitting at $55,000 and provides us with our bottoming range, approximately 55% down from ATH.

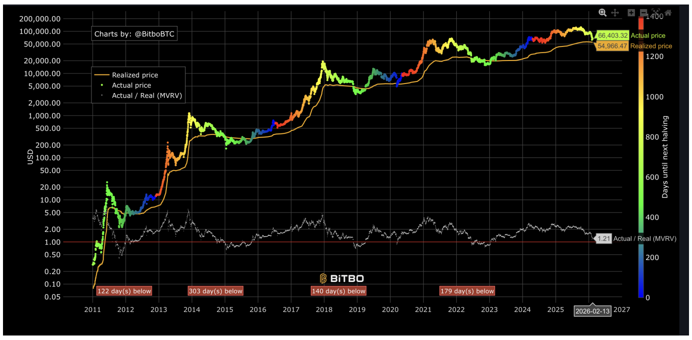

Figure 2. Markets only bottoming once price is below Realized Value ($54K)

- Our justification for why we believe a short-term counter trend rally could be present for Febraury is highlighted in figure 3. In the past two cycles (2017 and 2021), BTC topped in Q4 of the post halving year, dropped into February, with a rally into March, followed by a drop in the summer lull. This is where we expect BTC to bottom out and will deploy more of our capital. Regarding the 4 year cycle, if it aint broke don't fix it.

Figure 3. February Bounce as seen in 2019 and 2022

3.2. Macro-Economic Market Analysis

Our initial thesis, highlighting the comparisons between 2019 and 2026 remains fixed. The reversion to looser monetary policy will follow a shorter term draw down, expected mid-summer, followed by a hopeful reversion to bull market status.

- Our general thesis from a macro analysis standpoint stays fixed. We believe the mixed economic data, pushing expected IR cuts further into 2026 aligns well with our narrative for a rally in the markets to come after summer. This would align with when Kevin Warsh takes office. We think the nomination of Kevin Warsh as FED chair is a muted choice and do not expect adverse effects. His monetary policy of lowering IR will be positive for risk on markets, and we believe his QE/QT policies to be unsubstantiated and face harsh backlash by the FED chairs, therefore not being of grave consequence.
- Relating to our 2019 comparison discussed last market report, 2019 is the only period of time with similar macro-conditions of elevated IR and QT. In 2019 this corresponded to an approximate 50% drop and a short-bear market. A halting of QT and reduced IR's was followed by a short-draw down. We expect a similar path to play out again.

4. MOVING FORWARD FOR W3T PORTFOLIO

4.1. Our closing thoughts

The macro and geopolitical environment remains constrained and uncertain furthering the general negative sentiments. We see a relief rally coming in February towards March followed by a drop towards the summer months. We maintain our 2019 comparison.

- The bottom range for our drop is $55,000 corresponidng to the realised value of BTC buyers
- Policy will remain tight until Kevin Warsh comes into the FED and reduces IR. This will likely correspond to a rally for risk-on assets exiting the summer monthts.
- We still believe IR's must be below the 2Y US Treasury yield, currently at 3.5% for a sustained bull-run.

Our intentions are to continue building our positions in BTC, ETH and GOLD. Given our current capital deployment, we aim to save further cash deployments for the "summer lull", where we will presumably continue deploying more capital. We will be placing buy orders at $60,000 and $55,000 and $52,000 in anticiaption of these summer months.

4.2. Deployment plan

Given prevailing bearish sentiment, capital deployment will remain disciplined and level-driven.

- Strategic deployment levels identified at $63,000, $60,000, $57,000 and $54,000.
- We anticipate these price levels to be reached in the summer months and intend to deploy 30% more capital, leaving us with 20% of our injected capital.
- Execution approach: scale into positions, avoid leverage, and size exposures according to prevailing volatility.

5. REFERENCES

- Open Interest Data: https://www.coinglass.com/FundingRate
- Charts: Made by Leon Godtfredsen
- CPI and Unemployment Data: https://tradingeconomics.com
- Price Action: https://coinmarketcap.com
- Market News: Reuters, Economist and JP Morgan

Thank You for your time. Feed back and constructive criticism are always appreciated.